V2.1 — The Baseline Audit

UPDATE TO V2

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PREVIOUSLY · V2 · FOUR WEEKS AGO
Six stress tests with kill criteria written before they ran. Three survived, one is fragile, two were killed.

V1 HEADLINE
57.91%
vs the strongest 0.5 cut-off · CI [53.95%, 62.13%]

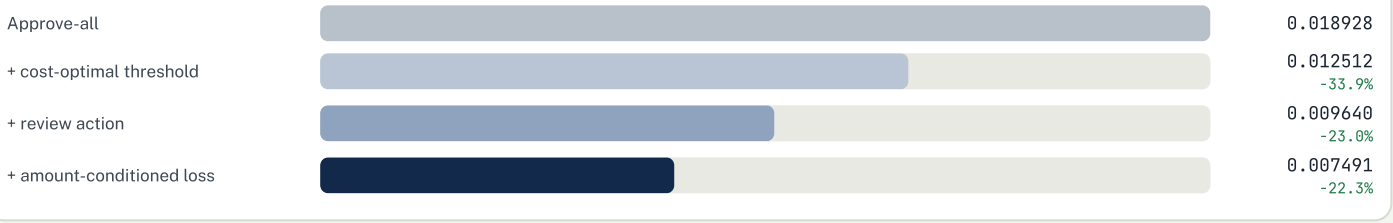
V2 VERDICT
3 / 1 / 2
survived / fragile / killed · headline bounded, not overturned

THE QUESTION I SHOULD HAVE ASKED FIRST

V2 tested whether the result survives harder conditions. It did not test whether the comparison was fair. This update does: the V1 baseline was a 50% cut-off, and at a 1.1% fraud rate, that is barely better than approve-all. The 57.91% was mostly threshold placement.

ORIGINAL HEADLINE · VS A 50% CUT-OFF
57.91%
95% CI 53.95% – 62.13%
The number I posted four weeks ago. It holds under its baseline, but the baseline was weak.

CORRECTED HEADLINE · VS A COST-OPTIMAL THRESHOLD (VAL-TUNED)
22.29%
95% CI 19.71% – 24.95%
The number I will defend. Above the 5% bar; the CI excludes zero.



33.9%
from moving to a cost-optimal threshold

23.0%
from adding the review action

22.3%
from conditioning loss on amount

THE SIX V2 VERDICTS ARE UNCHANGED

HYPOTHESIS	VERDICT	KEY RESULT
Review capacity	SURVIVED	44.25% under 2% cap
Longer label delay	SURVIVED	58.08% (separate split)
Rolling retraining	FRAGILE	LR selected; 4.25% margin
Feature drift	SURVIVED	9/28; mostly low-importance
Group disparity	KILLED	2.3 pts vs 5-pt bar
Stratified calibration	KILLED	bias ~2.1%

The model, cost matrix, split, and policy are unchanged. The verdicts are unchanged — with the same caveats. Only the headline is.

WHAT THIS DOES NOT PROVE

- Not a production estimate. BAF is synthetic.
- Not a generalization claim. One dataset, one cost matrix, one split.
- Not a causal claim. The policy is evaluated, not deployed.
- The 2-month delay result uses a separate split, so it is not a like-for-like comparison.
- Not a fairness claim. Block-rate disparity was tested; review-rate disparity was larger and is not pre-registered.
- Amount is a proxy: `proposed_credit_limit`.

WHAT CHANGED SINCE THE V2 POST

- Headline: **57.91%** → **22.29%** vs a fair cost-optimal baseline.
- New baseline: a strong simple baseline tuned on validation.
- New report: `reports/ablation.md` with the waterfall.
- New tests: **76 unit and integration tests**; the pipeline is unchanged.

WHAT DID NOT CHANGE

- The six V2 verdicts: 3 survived, 1 fragile, 2 killed.
- The model, cost matrix, chronological split, and policy.
- The censored-row handling and the excluded month 7.
- The limitations: synthetic data, one regime, amount proxy.

The lesson. Robustness testing is not only "does it survive harder conditions?" It is also "is the comparison fair?" I stress-tested the first four weeks ago and missed the second. The corrected number is smaller, and it is the one I can defend.

Artifacts: github.com/kira-ml/delayed-label-fraud-decisioning · delayed-label-fraud-decisioning-gefp9s9mbkfdyzhhvescdm.streamlit.app · linkedin.com/in/ken-ira-lacson

Source: reports/ablation.md · reports/v2_falsification.md